

## Liquid Insight

## Bond &amp; Jackson Hole: Warsh holds ball

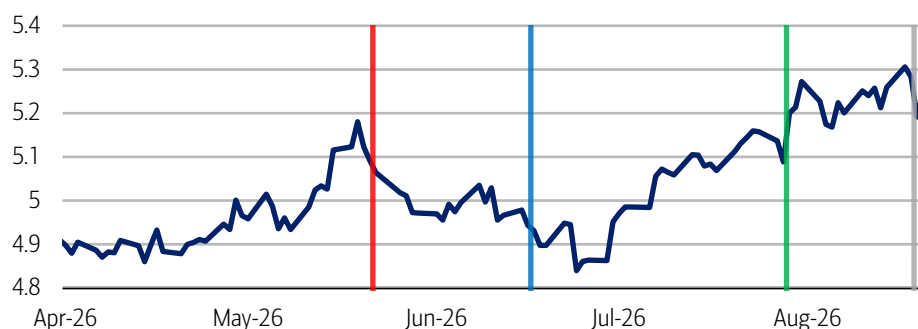
## Key takeaways

- Jackson Hole is key risk event for bond & USD. If Warsh credible, bond & USD stabilize. If not, bond 5.5%+. We answer FAQs.
- Expectation: Warsh to be different. Inflation outlook & Fed reaction function expected. Bessent acted, Warsh now holds ball.
- Details = Date: Aug 27-29. Topic: "Financial Innovation: Implications for Payments & Policy". Warsh: Aug 28 10 AM.

By M. Cabana, S. Juneau, A. Cohen

**Exhibit 1: US 30Y bond yield & recent Fed / Treasury events**

Red = Warsh new Fed Chair, blue = June FOMC, green = July FOMC, grey = Bessent buyback



Source: Bloomberg

BofA GLOBAL RESEARCH

## Jackson Hole '26 FAQ: you ask, we answer

**When / topic?** Aug 27-29, "Financial Innovation: Implications for Payments & Policy"**Why does market care?** Fed Chairs often speak and other officials attend. Major policy changes have been signaled during a long summer intermeeting period.**When is JH agenda released?** Typically afternoon / evening of first day (Aug 27)**When will Warsh speak?** Fri 10 AM ET. We expect focus on (1) outlook (2) big Fed Qs.**JH expectations?** Warsh to sound different. Warsh dislikes forward guidance but bond punishing him (Exhibit 1). More on inflation outlook & Fed reaction function expected. If not delivered, bond likely headed to 5.5%+. Bessent acted, Warsh now holds ball.**Market JH reaction?** If Warsh gives inflation reaction function: rates = more near-term hikes (Sept 50/50, total hikes ~40bp => 50bp), curve flattens, USD partially recovers. If Warsh does not, bond to 5.5%+ & USD takes another leg lower.**Historic JH reaction?** Rates = modest decline post JH. FX = sideways, 2022 was outlier.

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

**BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.**

Refer to important disclosures on page 7 to 9. Analyst Certification on page 6.

13011136

24 August 2026

Rates and Currencies Research  
GlobalGlobal Rates & Currencies Research  
MLI (UK)**Mark Cabana, CFA**Rates Strategist  
BofAS  
+1 646 743 7013  
mark.cabana@bofa.com**Stephen Juneau**US Economist  
BofAS  
+1 202 442 7429  
stephen.juneau@bofa.com**Alex Cohen, CFA**FX Strategist  
BofAS  
+1 646 743 7015  
alex.cohen2@bofa.com**Oliver Levingston**FX and Rates Strategist  
Merrill Lynch (Hong Kong)  
+852 3508 4631  
oliver.levingston@bofa.com

See Team Page for List of Analysts

## Liquid Insight

Recent Publications

- 20-Aug-26 [Ending the summer](#)
- 19-Aug-26 [US Treasuries – Value vs Utility](#)
- 18-Aug-26 [Weathering El Niño: hedge with NZD longs](#)
- 17-Aug-26 [Peripheral resilience: Balance sheet approach](#)
- 13-Aug-26 [G10 FX: acquired taste](#)
- 12-Aug-26 [Can Eurozone linkers escape the US's slipstream?](#)
- 11-Aug-26 [US July CPI Preview: Confirm or Deny?](#)
- 10-Aug-26 [A low bar for a hawkish RBA hold](#)
- 6-Aug-26 [July labor report: fit to tighten](#)
- 5-Aug-26 [FAQs on coordinated yen-buying intervention](#)

BofA GLOBAL RESEARCH

**What is Jackson Hole?**

It is a late summer economic symposium hosted by the Federal Reserve Bank of Kansas City. The symposium hosts dozens of central bankers, policymakers, academics and economists from around the world. The event is held in Jackson Hole, Wyoming.

The symposium this year will be held from August 27-29.

**Why does the market care about Jackson Hole?**

The market typically cares about Jackson Hole for two reasons: (1) it occurs during the longest FOMC inter-meeting period of the year (2) it happens at a time when the market is generally quiet due to summer holidays / limited other key events.

Most FOMC inter-meeting periods throughout the year are 6-7 weeks long. The length of time between July & September meetings is a full 7 weeks that includes 2 NFP & CPI prints. The longer period has been treated as a “mini-meeting” by the market, where Fed can provide updated monetary policy guidance weeks ahead of the September meeting.

There have been times when the Fed signaled intentions to markets and the public. That said, the venue is better served for longer-term framework discussions, like when the Fed introduced Flexible Average Inflation Targeting – FAIT – during the pandemic.

**What is the Jackson Hole topic?**

"Financial Innovation: Implications for Payments and Policy"

**When is the Jackson Hole schedule released?**

The symposium schedule is not released until the afternoon before the conference begins. The conference agenda should be released the afternoon of August 27. Our recollection is that the accompanying papers or presentations are not released until the scheduled start time for each session.

Chair Warsh will speak at 10 AM ET on August 28. Historically there is no public Q&A.

**Do Fed Chairs always speak at Jackson Hole?**

Fed Chairs almost always speak at Jackson Hole. The Kansas City Fed started the conference in 1982 and former Chair Greenspan delivered opening remarks for 14 years. Greenspan's behavior, whether intentional or not, appeared to set a precedent. JH attendance is not a requirement and Fed Chairs can skip. Bernanke skipped in 2013. Yellen skipped in August 2015.

**Does the Fed always make news at Jackson Hole?**

No, not always. Many within the Fed would prefer Jackson Hole to have a lower profile. It is not a meeting where policy is made or discussed. Any Fed Chair that “makes news” about upcoming monetary policy decisions – e.g. changing interest rates or altering the balance sheet – risks front-running the rest of the committee.

The annual Economic Policy Symposium is not a Federal Reserve system-wide conference. Instead, it is a conference sponsored by one of the 12 regional Federal Reserve Banks and each of these banks holds its own regular conference. Despite its importance during the GFC, the Fed has generally tried to downplay the importance of the event regarding the near-term outlook for monetary policy. That said, the Fed seems to find ways to make the event noteworthy when needed.

**What do we expect from Chair Warsh speech?**

In his July press conference, Chair Warsh said he was undecided on the topic of his Jackson Hole speech. He outlined two possibilities: (1) a speech addressing broader issues such as productivity, demographics, and the global economy, or (2) one focused more directly on the near-term policy outlook. We expect him to address both, with more focus on policy given recent moves in rates markets & U.S. Treasury bond actions.



Although Warsh has generally avoided anything resembling forward guidance, including clearly articulating his reaction function, we see two reasons he may take a different approach at Jackson Hole. First, we do not believe the twist steepening that followed the July press conference was the market reaction he hoped to generate. Second, the Treasury's increased long-end buybacks, together with yen intervention, suggests the administration has grown more concerned about the rise in long-term yields.

If Warsh takes this route, we expect the speech to resemble recent remarks by Paulson and Cook, who outlined policy responses under two scenarios: one in which disinflation continues in the near term, and another in which inflation remains stubbornly elevated.

Such an approach would allow Warsh to clarify his reaction function without providing explicit forward guidance. We would expect him to begin by reiterating the Fed's commitment to restoring price stability, much as he did in June and in his congressional testimony. However, he will likely need to go further than he did in July. Specifically, he may need to state more clearly that price stability means returning PCE inflation to 2%, and emphasize that interest rates remain the Fed's primary tool for achieving that goal rather than one of several available instruments.

In short, we expect Warsh to signal that he is prepared to raise rates again if inflation does not continue to moderate.

By contrast, if he uses the speech to focus solely on broader structural themes such as productivity or demographics, we worry markets could interpret the message as dovish. In that case, concerns about the Fed's commitment to price stability could lead to further curve steepening. If Chair Warsh does not provide plan & reaction function to bring inflation back down to 2%, we see risks this accelerates the long end UST rate rise and could see levels test 5.5% or higher.

### **What is expected rates & FX market reaction around Jackson Hole?**

Rates: Jackson Hole is a key risk event for the US rates market, especially the long end. Treasury buyback action last week reflects broader administration concern over UST long end. The Fed can also do its part to help contain the long end via: (1) more hawkish policy stance (2) clearer guidance on inflation outlook & reaction function. Jackson Hole is an opportune time for both shifts, which we expect (see: [UST buybacks](#)).

Chair Warsh has reflected disdain for forward guidance. The bond has punished him. As Mike Tyson said: "everyone has a plan until they get punched in the face". The bond has been throwing haymakers. We expect Chair Warsh to change his communication to help contain the bond. If he does not, we would be concerned about a potential rapid bond rise to 5.5%+.

If Warsh shifts communication as we expect, we expect (1) great pricing of near-term Fed hike risks, which will likely see Sept FOMC OIS rise from ~9bps to 12.5bps (i.e. 50/50 odds) (2) total Fed hikes priced for the cycle rising from ~40bps to near 50bps (3) broad nominal & real curve flattening. Such moves would support our pay Jan FOMC OIS view (current: 3.94%, target: 4.4%, risk: Fed hold) but challenge our 5s30s steepening bias (current: 85bp, target: 110bp, risk: Fed hikes). Our conviction on 5s30s steepening has been reduced post Bessent buyback but we hold with moderating US macro data.

FX: The FX market approaches Jackson Hole on the back foot. The dollar depreciated sharply and broadly on last week's US Treasury's buyback announcement, serving its role as the pressure release valve amid this active attempt to suppress UST yields. ([USD: Implications of UST Activism 21 August 2026](#)) This is the latest in a recent string of USD-negative events, including the surprisingly "dovish" July FOMC and the broader trend of moderating US growth and inflation data printed in August.

That said, since the initial reaction to the UST's announcement, FX price action over the subsequent days has been more subdued and varied. (Exhibit 2). How the Fed responds in this context is key, which is why Chair Warsh's Jackson Hole speech could be pivotal.



The biggest concern for the USD post-“buyback announcement”, is that the unsustainable US fiscal trajectory is met with some combination of:

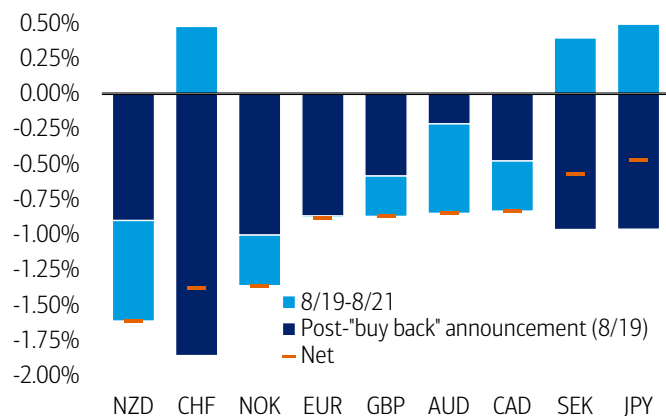
1. Zero attempt at eventual fiscal restraint (TBD, yet not imminent in either case)
2. Further attempts by the UST to suppress long-end rates (a real possibility)
3. Attempts by Chair Warsh to run easier monetary policy and thus accepting the risk of higher inflation. (Hence focus on his Jackson Hole speech)

This would evoke “fiscal dominance” concerns which would add further risk premium into the USD. Indeed, since the buyback announcement, the dollar’s selloff has occurred amidst a widening in rate differentials in the USD’s favor; a classic sign of risk premium. (Exhibit 3)

Complicating matters is that Chair Warsh’s aforementioned disdain for forward guidance raises the specter of a communication error. Should the speech evoke the “June FOMC Warsh” and signal (in clearer terms than was delivered in July) a monetary prescription for returning inflation to target, the USD could unwind the post-buyback move. However, a more muddled message that leans in on possible disinflationary benefits of AI, or an avoidance of the topic altogether (under the guise of “no forward guidance”) would unlikely be well-received by markets. In this case, we would expect further curve steepening to be associated with another leg lower in the USD. While the buyback story has grabbed the spotlight, it is ultimately the interplay of relative underlying cyclical factors with monetary policy that should determine the USD’s outlook. In one scenario, Chair Warsh can subjugate the buyback decision to an FX market footnote. In another, he can further embolden those in the “USD debasement” camp.

#### Exhibit 2: FX price action post-buyback announcement has been more moderate and varied

USD performance (vs. G10): on “buyback” day & subsequent two days

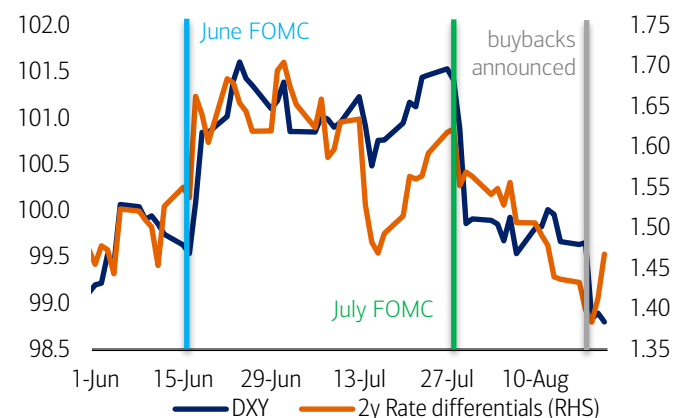


Source: Bloomberg; BofA Global Research

BofA GLOBAL RESEARCH

#### Exhibit 3: DXY sold-off on buyback announcement, despite wider rate differentials

DXY vs. 2y sovereign rate differentials (DXY weighted)



Source: Bloomberg; BofA Global Research

BofA GLOBAL RESEARCH

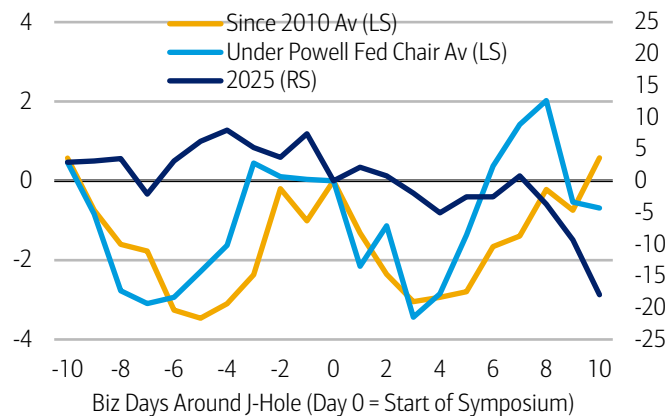
#### What is historic rates & FX market reaction around Jackson Hole?

Rates: Historically Jackson Hole has not been a game changer for the US rates market, especially under Chair Powell. Typically rates modestly decline after Jackson Hole. These moves usually reversed in the 10 business days after the event though '25 was an exception (Exhibit 4).



**Exhibit 4: US 10Y moves around Jackson Hole**

US rates typically decline after JH but quickly reverse, '25 was exception

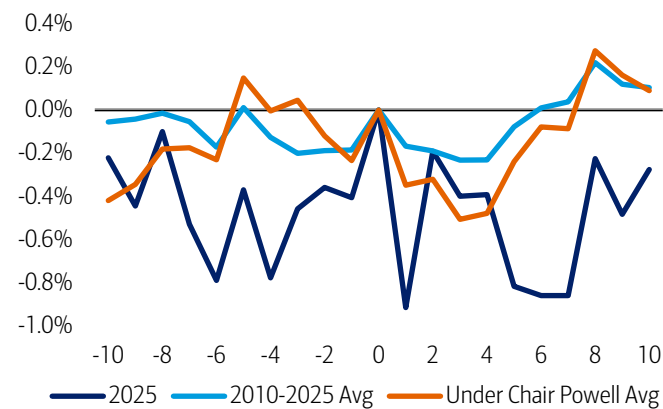


Source: Bloomberg

BofA GLOBAL RESEARCH

**Exhibit 5: DXY moves around Jackson Hole**

USD has slightly depreciated on average on Jackson Hole speeches, though most have been temporary



Source: Bloomberg; BofA Global Research

BofA GLOBAL RESEARCH

**FX:** Similar to the rates market, FX market reactions have been modest on average, but skewed to towards USD depreciation. Average USD reactions under Chair Powell have tended to be more pronounced. This was the case in 2025 as well, when emphasis on US labor market risks prompted a sharper USD selloff. Typically, DXY reactions to Jackson Hole have been reversed in subsequent weeks.

**Bottom line:** Jackson Hole is key risk event for bond & USD. Warsh likely to sound different. Inflation outlook & Fed reaction function expected. Bessent acted, Warsh now holds ball. If right, hike pricing higher, UST curve flatter, USD stronger. If wrong, bond could quickly test 5.5%+ & USD weaker.

## Notable Rates and FX Research

---

- **Global Macro Year Ahead 2025** – [Stretching the rubber band](#), 24 November 2024
- **Global Rates Year Ahead 2025** – [Continental Drift](#), 24 November 2024
- **G10 FX Year Ahead 2025** – [Policy Uncertainty](#), 26 November 2024
- [Into another busy week](#), **Liquid Cross Border Flows**, 28 July 2025

## Rates, FX & EM trades for 2025

---

For a complete list of our open trade recommendations as well as our trade recommendations closed over the past 12 months, see the reports below:

[Global FX weekly: Volatility eclipse 14 August 2026](#)

[Global Rates Weekly: A break in the heat 14 August 2026](#)

## Analyst Certification

I, Mark Cabana, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.



# Disclosures

## Important Disclosures

BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible. BofA Securities fixed income analysts regularly interact with sales and trading desk personnel in connection with their research, including to ascertain pricing and liquidity in the fixed income markets.

## Other Important Disclosures

Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.

The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

This report may refer to fixed income securities or other financial instruments that may not be offered or sold in one or more states or jurisdictions, or to certain categories of investors, including retail investors. Readers of this report are advised that any discussion, recommendation or other mention of such instruments is not a solicitation or offer to transact in such instruments. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor for information relating to such instruments.

Rule 144A securities may be offered or sold only to persons in the U.S. who are Qualified Institutional Buyers within the meaning of Rule 144A under the Securities Act of 1933, as amended. SECURITIES OR OTHER FINANCIAL INSTRUMENTS DISCUSSED HEREIN MAY BE RATED BELOW INVESTMENT GRADE AND SHOULD THEREFORE ONLY BE CONSIDERED FOR INCLUSION IN ACCOUNTS QUALIFIED FOR SPECULATIVE INVESTMENT.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.

The securities or other financial instruments discussed in this report may be traded over-the-counter. Retail sales and/or distribution of this report may be made only in states where these instruments are exempt from registration or have been qualified for sale.

Officers of BofAS or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.

This report, and the securities or other financial instruments discussed herein, may not be eligible for distribution or sale in all countries or to certain categories of investors, including retail investors.

Refer to [BofA Global Research policies relating to conflicts of interest](#).

**"BofA Securities" includes BofA Securities, Inc. ("BofAS") and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. "BofA Securities" is a global brand for BofA Global Research.**

### Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:

BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at [www.bofam.com/BofASEdisclaimer](http://www.bofam.com/BofASEdisclaimer); BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSF); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority. This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSF; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to "Wholesale" clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the [Electronic Communications Disclaimers](#) for further information.

This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security





discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.

#### General Investment Related Disclosures:

Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.

This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.

Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are largely unregulated. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

Futures and options are not appropriate for all investors. Such financial instruments may expire worthless. Before investing in futures or options, clients must receive the appropriate risk disclosure documents. Investment strategies explained in this report may not be appropriate at all times. Costs of such strategies do not include commission or margin expenses.

BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

This report may contain a trading idea or recommendation which highlights a specific identified near-term catalyst or event impacting a security, issuer, industry sector or the market generally that presents a transaction opportunity, but does not have any impact on the analyst's particular "Overweight" or "Underweight" rating (which is based on a three month trade horizon). Trading ideas and recommendations may differ directionally from the analyst's rating on a security or issuer because they reflect the impact of a near-term catalyst or event.

Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned in this report. Investors in such securities and instruments effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities that may have been recommended in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

#### Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.

All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet





periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.

Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.

In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.

Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.



# Research Analysts

## US

**Ralph Axel**  
Rates Strategist  
BofAS  
+1 646 743 7011  
[ralph.axel@bofa.com](mailto:ralph.axel@bofa.com)

**John Shin**  
FX Strategist  
BofAS  
+1 646 855 2582  
[joong.s.shin@bofa.com](mailto:joong.s.shin@bofa.com)

**Mark Cabana, CFA**  
Rates Strategist  
BofAS  
+1 646 743 7013  
[mark.cabana@bofa.com](mailto:mark.cabana@bofa.com)

**Bruno Braizinha, CFA**  
Rates Strategist  
BofAS  
+1 646 743 7012  
[bruno.braizinha@bofa.com](mailto:bruno.braizinha@bofa.com)

**Meghan Swiber, CFA**  
Rates Strategist  
BofAS  
+1 646 743 7020  
[meghan.swiber@bofa.com](mailto:meghan.swiber@bofa.com)

## Europe

**Ralf Preusser, CFA**  
Rates Strategist  
MLI (UK)  
+44 20 7995 7331  
[ralf.preusser@bofa.com](mailto:ralf.preusser@bofa.com)

**Adarsh Sinha**  
FX and Rates Strategist  
MLI (UK)  
+44 20 7995 9745  
[adarsh.sinha@bofa.com](mailto:adarsh.sinha@bofa.com)

**Ruben Segura-Cayuela**  
Europe Economist  
BofA Europe (Madrid)  
+34 91 514 3053  
[ruben.segura-cayuela@bofa.com](mailto:ruben.segura-cayuela@bofa.com)

**Mark Capleton**  
Rates Strategist  
MLI (UK)  
+44 20 7995 6118  
[mark.capleton@bofa.com](mailto:mark.capleton@bofa.com)

**Sphia Salim**  
Rates Strategist  
MLI (UK)  
+44 20 7996 2227  
[sphia.salim@bofa.com](mailto:sphia.salim@bofa.com)

**Kamal Sharma**  
FX Strategist  
MLI (UK)  
+44 20 7996 4855  
[ksharma32@bofa.com](mailto:ksharma32@bofa.com)

**Ronald Man**  
Rates Strategist  
MLI (UK)  
+44 20 7995 1143  
[ronald.man@bofa.com](mailto:ronald.man@bofa.com)

**Michalis Rousakis**  
FX Strategist  
MLI (UK)  
+44 20 7995 0336  
[michalis.rousakis@bofa.com](mailto:michalis.rousakis@bofa.com)

## Pac Rim

**Oliver Levingston**  
FX and Rates Strategist  
Merrill Lynch (Hong Kong)  
+852 3508 4631  
[oliver.levingston@bofa.com](mailto:oliver.levingston@bofa.com)

**Shusuke Yamada, CFA**  
FX/Rates Strategist  
BofAS Japan  
+81 3 6225 8515  
[shusuke.yamada@bofa.com](mailto:shusuke.yamada@bofa.com)

**Tomonobu Yamashita**  
Rates Strategist  
BofAS Japan  
+81 3 6225 7950  
[tomonobu.yamashita@bofa.com](mailto:tomonobu.yamashita@bofa.com)

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

